

PROFESSIONAL FORMATION GUIDE

Economic Diplomacy in Practice

A formation guide for specialists in private-sector external economic relations

Written for entrants to DEİK-type institutions: business councils, trade bodies and the private-sector side of economic diplomacy.

Economic literacy · trade architecture · geopolitics · institutions · country research · report writing

An independent professional formation guide

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Foreword

This booklet is written for the person who has just been given a desk, a country portfolio and three weeks before their first business council meeting — and who has discovered that a good degree in economics or international relations does not, on its own, tell you what to do on Monday.

A note on what this guide is, and is not

This is an **independent** study guide. It is not published by, commissioned by, or affiliated with the Foreign Economic Relations Board of Türkiye (DEİK) or any other institution, and nothing in it should be read as an official statement of any organisation's position. DEİK is used throughout as the reference case because it is the clearest example of its institutional type, and because its operating environment — bilateral business councils, trade missions, government liaison, country research — is the environment this guide prepares you for.

Where the guide describes DEİK's structure, it relies on the organisation's own published description of itself: established in 1985 and operational from 1 January 1987, coordinating the external economic relations of the Turkish private sector through a network of country-based business councils and a smaller number of special purpose and sectoral councils.¹ Every figure of this kind should be re-checked against the source before you put it in a brief.

What the guide is trying to do

The gap between a graduate and a mid-career specialist is not mainly a gap in knowledge. It is a gap in three other things, and this guide is organised around them.

- **Framing.** Knowing which of the many true things about a country matter for the decision in front of you. A specialist does not know more facts about Kazakhstan than a well-read graduate; they know which four facts change the recommendation.
- **Calibration.** Expressing confidence honestly — distinguishing what the data show, what it is reasonable to infer, and what is a guess — in language that a minister, a chief executive and a foreign counterpart all read the same way.
- **Craft.** Knowing how to build a country profile in three days, how to structure a brief so it is read, how to run a stakeholder map, and how to write a sentence that survives being quoted back to you.

How to use it

Chapters 1 to 4 build the conceptual architecture: the economics, the trade rules, the politics and the institutions. Chapters 5 and 6 are the skills core — country research and report writing — and are written to the depth of a graduate methodology course, because these are the two capabilities on which an early-career specialist is actually judged. Chapter 7 works through bilateral cases in which the earlier material is applied together.

Read Chapters 5 and 6 early even if you read the rest slowly. They will improve your output in the first week; the conceptual chapters will improve your judgement over the first year.

WATCH OUT On data, and the discipline that protects your credibility

This guide deliberately contains very few current figures. That is not caution for its own sake. Trade balances, investment flows, inflation and sovereign ratings move continuously, and an analyst who quotes a number from a booklet rather than a database has already made the error this profession punishes most reliably.

¹DEİK's own publications and website are the authoritative source for its structure, council list and governance. Council numbers change as agreements are signed; verify the current figure before using it in a document.

Every chapter therefore names the source you should open. Appendix A lists them together. The habit to build from your first week: **no figure enters a document of yours without a source and a date attached to it, even in a draft.** It is far easier to keep the citation from the beginning than to reconstruct it at midnight before a submission.

CHAPTER 1

Understanding the Global Economy

An economic diplomat does not need to be an economist. They need to be able to read an economy the way a doctor reads a chart: knowing which indicators are vital signs, which are symptoms, and which are noise — and knowing what a given reading implies for a bilateral trade relationship.

This chapter builds that reading capacity, first through the theory that explains why countries trade at all, then through the Turkish structure a specialist must be able to describe from memory, and finally through the indicators that appear in every brief you will ever write.

By the end of this chapter you should be able to

- Explain, in one paragraph and without jargon, why two countries trade and who gains.
- Describe the structure of the Turkish economy to a foreign counterpart in five minutes.
- Read a set of macroeconomic indicators and say what they imply for bilateral trade.
- Recognise where the standard trade models stop explaining what you observe.

1.1 Why this matters before the operational detail

A business council exists to increase trade and investment between two economies. Every activity it runs — a delegation, a forum, a sectoral working group — is an implicit bet about where complementarity exists. Getting that bet right is an economic judgement before it is a diplomatic one.

The specialists who add most value are those who can look at two economies and say where the genuine complementarity lies, rather than where the political relationship is currently warm. Those are different questions, and confusing them produces the characteristic failure of private-sector diplomacy: a well-attended forum in a market where the underlying trade logic was never there, followed by two years of unanswered follow-up.

1.2 The theory you actually use

1.2.1 Comparative advantage, and its limits

The Ricardian insight remains the foundation: countries gain from trade by specialising where their **opportunity cost** is lowest, not where they are absolutely most productive. The Heckscher–Ohlin extension explains specialisation by relative factor endowments — capital, labour, land — and predicts that trade will change the returns to those factors within each country, which is where the political economy of trade begins.²

Two limits matter for your work. First, comparative advantage explains the *pattern* of trade, not its *volume* with any specific partner; gravity considerations — economic size and distance — explain far more of the variation in bilateral flows. Second, the theory says nothing about who within a country gains, and a trade relationship that is welfare-improving in aggregate can be politically unsustainable if the losses are concentrated.

1.2.2 New trade theory and why similar countries trade

Classical theory predicts trade between *different* economies. What we observe is that the largest flows run between *similar* ones, and much of it is intra-industry: Türkiye exports vehicles to Germany and imports vehicles from Germany. Economies of scale, product differentiation and consumer preference for variety explain this better than factor endowments do.³

FIELD NOTE What this means at a business council meeting

If you are working a market whose economic structure resembles Türkiye's, do not expect the opportunity to be in broad sectors — it will be in *segments*: a specific component, a quality tier, a niche where scale or specialisation gives one side an edge. The useful question to a member company is therefore not "do you export machinery to this country?" but "which of your lines has no local equivalent there, and why?"

1.2.3 Global value chains: the frame that fits current reality

Most manufactured goods are no longer produced in one country. They are assembled from stages located wherever each stage is cheapest to perform, and the analytically interesting question becomes not *what* a country exports but *which stage* it occupies and how much value it captures there.⁴

²Paul Krugman, Maurice Obstfeld and Marc Melitz, *International Economics: Theory and Policy*, Pearson, latest edition. Chapters on Ricardian trade and the Heckscher–Ohlin model.

³Krugman's work on increasing returns and monopolistic competition in trade, developed through the 1980s and summarised in the same textbook.

⁴Gary Gereffi, John Humphrey and Timothy Sturgeon, "The governance of global value chains", *Review of International Political Economy*, 12(1), 2005. See also Richard Baldwin, *The Great Convergence*, Harvard University Press, 2016.

For a specialist working Türkiye's bilateral relationships, the value-chain frame reorganises the whole analysis. It explains why gross bilateral trade figures overstate the real economic relationship; why a tariff on an intermediate good taxes your own exporters; and why "moving up the value chain" is a specific, measurable ambition rather than a slogan.

DEFINITION Gross trade versus value added

Conventional trade statistics record the full customs value of a good each time it crosses a border, so a component crossing three borders before final assembly is counted three times. Trade-in-value-added statistics attempt to strip this out and attribute value to where it was actually created.

The practical consequence: a bilateral deficit measured in gross terms can look very different measured in value-added terms, and the difference is often the most interesting sentence in a bilateral brief. The OECD–WTO trade in value added database is the standard source.

1.3 The Turkish economy: what a specialist knows without looking up

You will be asked to describe Türkiye's economy by foreign counterparts, in five minutes, without notes, several times a year. The description below is a structure, not a script; fill it with current figures from the sources in Appendix A each time you use it.

Table 1.1 — A five-minute structure for describing the Turkish economy

Dimension	What to establish	Where the current figure comes from
Scale and position	Size of the economy, population, income level, position among G20 members	TurkStat; IMF World Economic Outlook
Structure	Shares of agriculture, industry and services; the weight of manufacturing relative to peers	TurkStat national accounts
Trade composition	Leading export sectors and leading import categories, and how they differ	TurkStat; UN Comtrade; ITC Trade Map
Geography of trade	Concentration of exports in the EU, and the diversification into neighbouring and distant regions	TurkStat; IMF Direction of Trade Statistics
External balance	Current account position and its structural driver — energy import dependence	Central Bank of the Republic of Türkiye (TCMB)
Investment	Inbound FDI stock and flows by origin; outbound investment as a growing feature	TCMB; UNCTAD World Investment Report
Monetary and price context	Inflation, policy rate, exchange rate regime and recent direction	TCMB; TurkStat
External financing	Sovereign ratings, external debt profile, reserve position	Rating agencies; TCMB

Never present any of these from memory. The structure is memorised; the numbers are looked up the day you present them.

FIELD NOTE The two structural facts that explain most of the rest

If a counterpart has time for only two sentences about the Turkish economy, these are the two that carry the most explanatory weight.

- **Türkiye is a manufacturing economy embedded in European value chains, with a customs union giving industrial goods duty-free access to the EU market.** This shapes the export basket, the investment pattern and much of the regulatory agenda.

- **Türkiye is a substantial net importer of energy.** This is the structural driver of the current account, which is why the external balance moves with global energy prices largely independently of domestic policy.

Almost every other feature of the economy is easier to explain once these two are on the table.

1.4 Reading indicators like an analyst

Indicators are not facts about an economy; they are measurements with definitions, revisions and blind spots. Knowing the definition is what allows you to say something more useful than the number itself.

Table 1.2 — Indicators, what they miss, and the question they should prompt

Indicator	What it does not tell you	The analytical question
GDP growth	Distribution, composition, or whether growth is credit-financed	What is driving it, and is the driver repeatable?
Trade balance	Value added, or the direction of the underlying competitiveness	Which sectors moved, and was it price or volume?
Current account	Whether the deficit is financed by stable or volatile flows	How is it funded, and how quickly could that funding stop?
CPI inflation	Relative price movements; the experience of different income groups	Is this a supply shock, a demand shock or exchange-rate pass-through?
Exchange rate	Competitiveness, without adjusting for relative prices	What has the <i>real effective</i> rate done?
FDI inflows	Whether investment is greenfield or a change of ownership	Does this add capacity, or only change who owns it?
Sovereign rating	Anything the market did not already know	What changed in the rationale, not the letter?
Unemployment	Participation, informality, or underemployment	What happened to the participation rate at the same time?

WATCH OUT Three errors that mark out a junior analyst

- **Comparing a nominal series across time or countries** without adjusting for prices or exchange rates. A doubling in lira terms may be a decline in real terms.
- **Treating a bilateral trade balance as a measure of the health of a relationship.** It measures composition and value-chain position, not friendship or fairness.
- **Quoting a growth rate without the base.** Growth from a collapsed base is a recovery, not a performance, and counterparts will know the difference.

1.5 Cycles, shocks and what they do to bilateral trade

Trade relationships are not equally sensitive to the economic cycle. Capital goods, construction materials and durable consumer goods swing hard; food, pharmaceuticals and basic intermediates swing much less. A business council whose member base is concentrated in the first group will find its agenda dominated by the cycle whether or not anyone plans it that way.

Three propagation channels are worth being able to name, because they determine how a shock in one economy reaches the other: **trade** (demand for exports falls), **finance** (credit tightens, and trade finance is often the first to be withdrawn), and **the exchange rate** (relative prices move, changing competitiveness in both directions at once).

CASE STUDY Reading a partner economy in trouble

Suppose a country in your portfolio enters a sharp currency depreciation with rising inflation and a widening external deficit. The naive reading is that trade with that market will fall. The analytical reading is more differentiated, and it is the one your members need.

- **Their imports of your consumer goods will fall**, and fastest in discretionary categories.
- **Their exports become cheaper**, which may create sourcing opportunities for Turkish importers and can be pitched as such.
- **Payment risk rises before demand falls**. Letters of credit become harder to confirm; local banks are affected before local customers are.
- **Project and investment activity freezes early**, because it depends on financing rather than on income.

The brief that says "trade will decline" is not wrong. The brief that says which flows decline, which strengthen, and which risk category moves first is the one that changes what a member company does.

PRACTICAL EXERCISE The one-page economic snapshot

Build a one-page economic snapshot of Türkiye for a visiting foreign delegation, using only the sources in Appendix A. Constraints: one page; every figure carries a source and a date; no adjective that is not supported by a number; and it must end with three sentences on what the picture means for a foreign company considering the market.

Then do the same for a country in your portfolio, and note how much longer it took. That difference is the cost of unfamiliarity, and it is what Chapter 5 exists to reduce.

CHAPTER 2

International Trade Architecture

Trade rules are usually taught as a legal system. They are more usefully understood as a bargain about power: states accept constraints on what they may do to foreign goods in exchange for the same constraint on others, and the interesting questions are always about who is constrained, who is not, and what happens when the enforcement mechanism weakens.

This chapter covers the architecture a specialist must be able to navigate — the multilateral system, the preferential agreements that matter to Türkiye, the remedies that reshape specific markets, and the control regimes that increasingly sit alongside them.

By the end of this chapter you should be able to

- Explain the WTO's core disciplines and the practical consequences of the dispute settlement impasse.
- Describe Türkiye's preferential architecture, including the structural asymmetry in the Customs Union.
- Recognise a trade remedy case early and understand what an affected exporter can actually do.
- Place sanctions and export controls within the trade system rather than outside it.

2.1 What the rules are for

The multilateral trading system exists because bilateral trade bargaining has a bad equilibrium. Without common rules, each state has an incentive to protect its own producers, and the result is worse for everyone than the cooperative outcome — a structure familiar from any account of collective action.

Three disciplines carry most of the weight. **Most-favoured-nation treatment** requires that an advantage given to one member be given to all, which is what stops the system fragmenting into bilateral deals. **National treatment** requires that imported goods, once inside, be treated no less favourably than domestic ones, which is what stops tariff concessions being undone by internal regulation. **Binding** commits members to ceiling tariff rates they cannot exceed without compensation.⁵

Preferential agreements are the recognised exception to the first discipline, permitted where they liberalise substantially all trade between the parties. That exception has grown until it is arguably the main event, which is why an economic diplomat spends far more time on preferential architecture than on multilateral rounds.

2.2 The WTO, and the strain it is under

The WTO does three things: it holds the rulebook, it provides a forum for negotiation, and it adjudicates disputes. The first function remains intact, the second has largely stalled since the Doha round, and the third is impaired in a way that has direct consequences for exporters.

DEFINITION The Appellate Body impasse, and why an exporter should care

WTO dispute settlement was designed as a two-stage process: a panel, then an appeal to a standing Appellate Body. Since December 2019 the Appellate Body has lacked the quorum to hear appeals, because appointments to it have been blocked. A losing party can therefore appeal a panel report "into the void", suspending the dispute indefinitely.⁶

The practical consequence for a Turkish exporter facing a measure they believe is inconsistent with WTO rules: the legal route is slower and less certain than it was, and the negotiated and political routes — which is where a business council operates — have become correspondingly more important. This is not a technicality. It is a change in where leverage lives.

2.3 Türkiye's preferential architecture

Türkiye's trade relationships sit on several layers, and a specialist must be able to say which layer governs a given flow. Getting this wrong produces confident advice that is simply inapplicable.

Table 2.1 — Layers of Turkish trade relations

Layer	What it covers	What a specialist must remember
EU–Türkiye Customs Union	Industrial goods and processed agricultural products in free circulation	Duty-free movement, common external tariff for covered goods — but not a proof of origin, and agriculture and services largely outside
Free trade agreements	Bilateral preferential access with a range of partners, including the United Kingdom	Preference must be claimed on origin , under the specific rules of each agreement

⁵The Marrakesh Agreement Establishing the World Trade Organization (1994) and the GATT 1994, particularly Articles I, II and III. Texts are published by the WTO.

⁶On the functioning of dispute settlement, see the Understanding on Rules and Procedures Governing the Settlement of Disputes (DSU), and the WTO's own documentation on the current status of appointments. Members have also established an interim appeal arbitration arrangement under DSU Article 25 among participating members.

Layer	What it covers	What a specialist must remember
WTO most-favoured-nation terms	Everything else, including large partners with no agreement	The default; the applicable rate is the MFN rate of the importing country
Unilateral schemes	Preferences granted by or to developing countries	Conditional and revocable; verify current eligibility before relying on it
Regional cooperation bodies	Political and technical cooperation frameworks such as the OIC, ECO, D-8 and BSEC	Valuable for convening and networks; generally not sources of enforceable market access

Confirm the current status of any agreement with the Ministry of Trade before relying on it in advice to a member company.

FIELD NOTE The asymmetry problem, and how to explain it in one minute

Under the Customs Union, Türkiye aligns its external tariff for covered goods with the EU's. When the EU concludes a free trade agreement with a third country, that country's goods can therefore enter Türkiye on the EU's preferential terms — while Turkish goods do not automatically gain reciprocal access to that country, because Türkiye is not a party to the agreement.

The consequence is a standing incentive for Türkiye to negotiate parallel agreements, and a standing negotiating point in its relationship with the EU. This is one of the few structural features of Turkish trade policy that a specialist should be able to explain without notes: it comes up in almost every serious conversation about the Customs Union's modernisation.

2.4 Trade remedies: where policy meets a specific exporter

Trade remedies are the instruments through which a general trade regime becomes a very specific problem for one sector. Three exist, and they answer different questions.

Table 2.2 — Three remedies and what triggers them

Instrument	The allegation	What must be shown	Typical duration
Anti-dumping duty	Goods sold for export below normal value	Dumping, injury to the domestic industry, and a causal link	Five years, reviewable
Countervailing duty	Goods benefit from an actionable subsidy	Subsidy, injury, causation	Five years, reviewable
Safeguard measure	Imports have surged, whether or not unfairly	Increased imports, serious injury, causation — and compensation may be owed	Time-limited, degressive

The governing texts are the Anti-Dumping Agreement, the Agreement on Subsidies and Countervailing Measures, and the Agreement on Safeguards.

CASE STUDY What an exporter can actually do when an investigation opens

A remedy investigation is an administrative proceeding with deadlines, and the most common failure of exporters caught in one is **non-participation**. An exporter who does not respond to the questionnaire is assessed on "facts available", which in practice means the highest plausible margin.

- **Register and respond.** Individual margins are calculated for cooperating exporters; non-cooperating ones receive the residual rate.
- **Get the sectoral association involved early.** Industry-wide submissions carry weight that individual ones do not, and this is precisely the coordination role a business council or exporters' association is built for.
- **Understand the injury argument, not only the dumping one.** Many cases are winnable on

causation — the domestic industry's difficulties may have another explanation — and that argument requires data the industry, not the lawyer, holds.

- **Watch the review clock.** Measures expire unless renewed on review; an expiry review is a second opportunity, and it is frequently missed.

The institutional lesson for a specialist: when a remedy case opens against a Turkish sector, the value your organisation adds is *coordination and information*, delivered in the first two weeks. After the deadlines pass there is very little anyone can do.

2.5 Sanctions and export controls as part of the architecture

Sanctions were once treated as an exception to trade policy. They are now a permanent feature of it, and any specialist working Türkiye's bilateral relationships must be able to reason about them without either alarm or naivety.

- **Different regimes bind different people.** United Nations measures bind all members. European Union measures bind EU persons and EU-connected conduct. United States measures bind US persons — and, through dollar clearing and secondary designations, reach much further in practice.
- **Export controls are separate from sanctions** and often more important commercially. Dual-use control lists restrict goods by technical specification regardless of destination politics, and a company can be entirely outside any sanctions regime and still require a licence.
- **Enforcement increasingly targets intermediaries.** Anti-circumvention measures have made third-country trading companies a focus of attention, with commercial consequences — loss of banking, insurance and forwarding relationships — that arrive long before any legal finding.
- **Türkiye applies UN measures as a matter of law and is not bound by autonomous EU or US measures** — but Turkish banks and companies operating internationally are exposed to them through counterparties, correspondents and contracts. The distinction between what is legally required and what is commercially unavoidable is one a specialist must be able to draw precisely.

WATCH OUT The institutional line

An organisation that convenes businesses will occasionally be asked, directly or obliquely, to facilitate a transaction that is restricted somewhere. The professional answer is to explain the regime accurately, point the company to specialist legal advice, and decline to be part of a structure whose purpose is to obscure a prohibited flow. Institutional reputation is the principal asset of a private-sector diplomacy body, and it is not recoverable.

2.6 Services, digital trade and where the agenda is moving

Goods trade is the subject of most of the architecture and a shrinking share of the value. Three areas are where the substantive negotiation now happens, and where a specialist who is fluent will be unusually useful.

- **Services.** Governed multilaterally by the GATS, and liberalised far less than goods. Barriers are regulatory rather than tariff-based — licensing, qualification recognition, establishment requirements — which makes them harder to negotiate and much harder to measure.
- **Digital trade.** Data flows, data localisation, source-code requirements and the treatment of electronic transmissions. Plurilateral work has advanced further than multilateral, and the outcomes will matter more to Turkish services exporters than most tariff lines.
- **Trade and climate.** Carbon border measures, deforestation-linked import rules and product-level environmental requirements now function as market access conditions. For Türkiye, with its

export concentration in the EU and in emissions-intensive sectors, this is arguably the single most consequential development in the trade architecture for the coming decade.

PRACTICAL EXERCISE Map a live trade policy position

Choose a current trade dispute or measure affecting a Turkish export sector. In two pages: identify the measure and its legal basis; identify the Turkish interest and which companies hold it; state the arguments available on each side; and set out three options for a private-sector body, with the trade-offs of each.

Note where you had to guess. Those gaps are the ones to close with the sources in Appendix A before anyone reads your work.

CHAPTER 3

Geopolitics and Economic Diplomacy

Economic diplomats are asked, constantly, to say what a political development means for trade. The honest answer is often "less than you think, and later than you expect" — but producing that answer credibly requires a framework, and defending it requires knowing which framework you are using.

This chapter provides three analytical lenses, a working method for geopolitical risk, an account of economic statecraft, and the comparative context of private-sector diplomacy institutions.

By the end of this chapter you should be able to

- Apply realist, liberal and constructivist readings to the same situation and see what each adds.
- Produce a geopolitical risk assessment that distinguishes likelihood from impact and says what would change your mind.
- Explain economic statecraft — including sanctions and export controls — as an instrument with costs on both sides.
- Describe Türkiye's foreign policy axes and how each shapes the commercial agenda.

3.1 Three lenses, used deliberately

Theory is not decoration in a brief. It is a way of noticing different things about the same situation. The practical skill is not choosing the correct theory but running a situation through all three and seeing where they disagree — because that disagreement is usually where the uncertainty actually lies.

Table 3.1 — What each lens makes visible

Lens	Core claim	What it makes you notice	Where it misleads
Realism	States pursue security and relative power in an anarchic system	Capabilities, alliances, the balance of power, why economic ties do not prevent conflict	Underweights institutions and domestic politics
Liberalism	Interdependence, institutions and domestic preferences shape outcomes	Why cooperation persists, how institutions lower transaction costs, who lobbies for what	Can mistake interdependence for stability
Constructivism	Interests are shaped by identity, norms and shared understanding	Why states with similar material positions behave differently; how a relationship is framed	Explains a great deal after the fact and predicts less

Kenneth Waltz, Theory of International Politics (1979); Robert Keohane and Joseph Nye, Power and Interdependence; Alexander Wendt, Social Theory of International Politics (1999).

FIELD NOTE A worked habit: run the three lenses in ninety seconds

Take any development in a country in your portfolio — an election result, a new alignment, a sanctions package — and ask three questions in order.

- **Realist:** whose relative position improves, and what capability changed?
- **Liberal:** which domestic groups gain and lose, and which institutions constrain the response?
- **Constructivist:** how is this being framed domestically, and does that framing make some options unspeakable?

If the three answers point the same way, your confidence should be high. If the realist reading says escalation and the liberal reading says the business lobby will restrain it, you have located the real uncertainty — and that sentence belongs in the brief.

3.2 Economic statecraft

Economic instruments have been used for political ends for as long as there has been trade. What has changed is that the structure of the modern economy — concentrated financial infrastructure, concentrated technology chokepoints, concentrated data flows — has made some of those instruments far more powerful than they were.

Hirschman's classic analysis established the mechanism: asymmetric trade dependence creates political influence, because the smaller partner has more to lose from disruption.⁷ The contemporary extension is that networks — payments, finance, technology standards — create chokepoints that a state controlling the hub can use, an argument developed as "weaponized interdependence".⁸

⁷Albert O. Hirschman, *National Power and the Structure of Foreign Trade*, University of California Press, 1945.

⁸Henry Farrell and Abraham L. Newman, "Weaponized Interdependence: How Global Economic Networks Shape State Coercion", *International Security*, 44(1), 2019.

Table 3.2 — Instruments of economic statecraft and their costs

Instrument	Mechanism	Cost to the sender
Comprehensive sanctions	Broad restriction on trade and finance with a state	Humanitarian consequences; erosion of coalition support over time
Targeted sanctions	Designation of individuals and entities	Lower cost, and correspondingly lower pressure
Export controls	Denial of specific technologies by specification	Loss of market share; incentive for the target to build substitutes
Investment screening	Blocking or conditioning inbound acquisitions	Reduced capital inflow; reciprocal treatment abroad
Tariffs used politically	Raising the price of a partner's exports	Costs fall largely on the sender's own importers and consumers
Financial infrastructure access	Restricting clearing and messaging	Accelerates the search for alternatives, eroding the chokepoint itself

*Sanctions research consistently finds that success depends on the modesty of the demand, the sender–target economic asymmetry, and multilateral participation. See Daniel W. Drezner, *The Sanctions Paradox*, Cambridge University Press, 1999.*

FIELD NOTE The sentence a specialist should be able to say

"Sanctions rarely change a government's core policy, they reliably change the structure of trade, and the second effect is the one our members will experience."

This is both defensible in the literature and immediately useful to a business audience. It moves the conversation from a political argument nobody in the room can settle to a commercial question — how are flows, payments and counterparties being reorganised — which is exactly what a business council can help with.

3.3 Geopolitical risk assessment that is actually useful

Most risk briefs fail in the same way: they list everything that could happen, assign no likelihood, and conclude that the situation should be monitored. That document cannot be acted on, and it cannot be wrong, which is why it is worthless.

- 1. Define the decision.** Risk is only assessable relative to something someone is deciding: whether to open an office, sign a distributor, accept payment terms, invest. Ask what the decision is before you assess anything.
- 2. Identify the drivers, not the events.** Elections, protests and reshuffles are surface. The drivers are fiscal capacity, coalition stability, external financing, security posture, institutional independence, and the position of the security services.
- 3. Separate likelihood from impact.** A likely event with no commercial consequence is not a risk. A remote event that would strand your assets is.
- 4. Write the indicator.** For each significant risk, state what you would observe first if it were beginning to materialise. This converts a static assessment into something that can be monitored.
- 5. State what would change your mind.** A judgement with no falsifier is an opinion. Naming the evidence that would overturn your view is the single strongest signal of analytical seriousness.

DEFINITION Political economy analysis

Political economy analysis asks who holds power, how they benefit from current arrangements, and what would have to change for reform to be in their interest. It is more useful than formal institutional

description because it explains the recurring puzzle: why a government announces a reform, secures financing for it, and does not implement it.

For a commercial audience the pay-off is concrete. It tells you whether a promised regulatory change is likely to arrive, and therefore whether to build a market-entry plan around it.

Table 3.3 — Structured frameworks, and what each is good for

Framework	Best used for	Caution
PESTLE	A first sweep that ensures nothing whole is missed	Produces breadth without priority; never a conclusion
Porter's diamond	Assessing why a country is competitive in a specific sector	Designed for firms and sectors, not for whole economies
Political economy analysis	Judging whether announced reform will be implemented	Requires local knowledge that desk research cannot supply
Fragility and governance indices	Comparability across many countries	Composite scores hide the sub-indicator that actually matters
Scenario analysis	Situations where the uncertainty is structural, not statistical	Only useful if each scenario carries different actions

Composite indices such as the Fragile States Index (Fund for Peace) and the Bertelsmann Transformation Index are best used to identify which countries deserve deeper work, not as findings in themselves.

3.4 Türkiye's axes, and what each means commercially

A specialist is expected to hold Türkiye's foreign policy geometry in mind and to translate it into commercial consequence. The table below is a structure for that translation; the assessments within it must be kept current.

Table 3.4 — Foreign policy axes and their commercial expression

Axis	The relationship	What it means for the commercial agenda
NATO membership	Long-standing alliance commitment with periodic friction	Defence-industrial cooperation, technology access, and export control exposure
EU relationship	Candidate status, Customs Union, deep trade integration without accession momentum	Regulatory alignment as a market-access necessity; Customs Union modernisation as the standing agenda
Russia	Substantial energy, tourism and agricultural trade alongside strategic divergence	Compartmentalised commerce, high compliance sensitivity, payment infrastructure as the binding constraint
Middle Corridor	Trans-Caspian route linking China and Europe through the Caucasus and Central Asia	Logistics, infrastructure and transit services; a genuine growth area for Turkish contractors and operators
Gulf states	Normalisation and capital flows following a period of estrangement	Investment, construction, defence and consumer goods; relationship-led market entry
Africa	Sustained diplomatic and commercial expansion over two decades	Contracting, consumer goods, aviation links; business councils as the primary institutional vehicle

Axis	The relationship	What it means for the commercial agenda
Central Asia and the Turkic states	Linguistic and historical affinity institutionalised through the Organization of Turkic States	Construction, energy services, transport; convening advantage for Turkish institutions

Positions in this table change. Treat it as a map of the axes to check, not as a current assessment.

3.5 Two-level games: the frame that explains most negotiations

Putnam's account of negotiation as a two-level game is the single most useful piece of theory for an economic diplomat.⁹ A negotiator bargains simultaneously at the international table and with domestic constituencies whose ratification they need. An agreement is only possible where the two "win-sets" overlap.

Three practical consequences follow, and all three are visible in any bilateral commercial negotiation you will observe.

- **A negotiator with a narrow domestic win-set has bargaining power**, not weakness: "my parliament will never accept that" is a credible constraint, and a skilled counterpart will test whether it is real.
- **Private-sector bodies are part of the domestic level**. When a business council demonstrates that its members support a concession, it widens the win-set and makes an agreement possible. This is, in a single sentence, the strategic function of the institution you work for.
- **Understand your counterpart's domestic level before their international position**. The position is a consequence of the constraint, and only the constraint tells you what is negotiable.

3.6 Private-sector diplomacy in comparative perspective

Institutions that organise business for external economic relations exist in most large economies, and they differ in ways that matter when you sit opposite them.

Table 3.5 — Counterpart institution types

Type	Characteristic form	What to expect in a meeting
Business council federation (DEIK model)	A coordinating body operating many bilateral councils, closely engaged with government trade diplomacy	Delegation-based engagement, government participation, sector working groups
Peak employers' confederation (MEDEF, BDI type)	National industry representation with an international department	Policy-led engagement; positions agreed internally before the meeting
Chamber of commerce network	Membership organisation with statutory or voluntary base	Practical services, certification, trade fairs, member matchmaking
Bilateral chamber	A chamber dedicated to one bilateral relationship	Deep market knowledge, on-the-ground services, smaller convening power
State trade promotion agency	Government body promoting exports and investment	Programme-driven; budget cycles determine what is possible and when

Before any first meeting, establish which type your counterpart is. It determines who can commit to what, and how long a decision takes.

PRACTICAL EXERCISE Write a geopolitical risk brief

Choose a country in your portfolio and write a two-page risk brief for a Turkish company considering establishing a local subsidiary. Requirements: name the decision; identify four drivers; assess likelihood

⁹Robert D. Putnam, "Diplomacy and Domestic Politics: The Logic of Two-Level Games", *International Organization*, 42(3), 1988.

and impact separately; give one observable indicator per risk; and end with what would change your assessment.

Then remove every sentence that would be equally true of any country. What remains is your actual analysis, and on a first attempt it is usually about a third of the draft.

CHAPTER 4

Civil Society, Business Councils and International Organisations

The institutional landscape around economic diplomacy looks, from the outside, like an undifferentiated crowd of acronyms. From the inside it is highly structured: each body has a mandate that determines what it can do, a governance structure that determines how fast it can do it, and a funding model that explains most of its behaviour.

This chapter gives you the map, then goes inside the institution you will actually work in — the bilateral business council — and ends with the two crafts that make an early-career specialist immediately useful: stakeholder mapping, and reading institutional knowledge critically.

By the end of this chapter you should be able to

- Classify any institution you encounter by mandate, governance and funding.
- Name the institutions in the operating environment and say what each is actually for.
- Explain how a bilateral business council is constituted and what makes one effective.
- Build a stakeholder map for a new market and read an institutional index without being misled by it.

4.1 A typology that does some work

The standard textbook division — intergovernmental organisations, international non-governmental organisations, hybrids — is a starting point. Three questions tell you more about how a body will behave than its category does.

- **Who are the members, and what do they control?** A body whose members are states behaves differently from one whose members are firms. State-member bodies move at the speed of consensus; firm-member bodies move at the speed of subscription renewal.
- **Where does the money come from?** Assessed contributions, voluntary contributions, membership fees, project funding or lending margins. A body funded by project grants will orient itself towards whatever donors are currently funding, regardless of its formal mandate.
- **What can it actually produce?** Binding rules, soft standards, finance, convening, or analysis. Confusing an organisation that publishes with one that lends wastes everybody's time.

FIELD NOTE Soft law is not weak law

Much of what shapes commercial practice is not binding in any legal sense: ICC rules such as Incoterms and UCP 600, standards bodies' technical norms, OECD guidelines, industry codes. These are adopted because parties incorporate them into contracts, or because markets treat them as the standard of care.

The practical implication for a specialist: when advising on a market-access problem, ask not only what the law requires but what the relevant private standard demands. In many sectors the private standard is the harder barrier.

4.2 The institutions in the operating environment

Table 4.1 — Who does what

Institution	What it is	When it becomes relevant to you
ICC	International Chamber of Commerce — the global business organisation	Incoterms, UCP 600 and URC 522; international commercial arbitration; policy advocacy
WTO	The multilateral trade rules organisation	Disputes, notifications, tariff and measure data; the framework behind most trade policy questions
UNCTAD	UN body on trade and development	Investment data and policy analysis; the World Investment Report is the standard reference on FDI
ITC	Joint agency of the WTO and the UN, focused on SME competitiveness	Trade Map and Market Access Map — the most practical tools for market analysis
World Bank Group	IBRD and IDA lending; IFC for private-sector investment; MIGA for political risk guarantees; ICSID for investment disputes	Project pipelines your members can bid for; country diagnostics; political risk cover
EBRD	Development bank investing largely in the private sector across its regions, including Türkiye	Co-financing, equity and advisory for member companies
IsDB	Islamic Development Bank — development finance on Shariah-compliant terms	Project finance and trade finance in member countries
AIIB	Multilateral infrastructure bank established in 2016	Infrastructure pipelines in Asia relevant to Turkish contractors

Institution	What it is	When it becomes relevant to you
BSTDB	Black Sea Trade and Development Bank, serving Black Sea Economic Cooperation members	Trade and project finance in the immediate region
OECD	Policy analysis and standard-setting among member economies	Economic Surveys, guidelines on responsible business conduct, statistics
IMF	Macroeconomic surveillance and lending	Article IV consultations are the most rigorous public assessment of most economies

Verify current membership, mandates and instruments with each institution before relying on them in advice.

4.3 Inside a bilateral business council

A bilateral business council is a durable structure created to hold a commercial relationship together between the high points. It is typically constituted by a cooperation agreement with a counterpart organisation in the partner country, chaired by a senior business figure, and staffed by a coordinator who does most of the work.

Table 4.2 — Anatomy of a council

Element	What it is	What determines whether it works
Cooperation agreement	The instrument establishing the partnership with the counterpart body	Whether the counterpart is the organisation that actually convenes business in that market
Chair and executive committee	Senior business figures who lend the council standing	Whether the chair has genuine commercial interest in the market, not only prestige
Member companies	Firms with an active interest in the market	Whether members are exporters <i>now</i> or hope to be — the two need entirely different programmes
Secretariat / coordinator	The professional staff who run everything	Continuity, country knowledge and follow-up discipline
Programme	Delegations, forums, sector groups, briefings, matchmaking	Whether activities respond to member demand or to the calendar
Government interface	Ministries, embassies, commercial counsellors	Whether the council is trusted enough to be consulted before decisions, not after

FIELD NOTE What separates an effective council from a busy one

The visible output of a council is events. The value is created between them, and three habits account for most of the difference.

- **Follow-up as a system, not an intention.** Every meeting produces named actions with owners and dates, and someone checks them at a fixed interval. A forum with no follow-up register produces a photograph and nothing else.
- **A living member map.** Who exports what, to where, with what obstacle. This is what allows a council to answer a counterpart's question in a day rather than a fortnight — and it is what makes government take the council seriously.
- **Institutional memory that survives staff turnover.** Country files, meeting records, contact histories. Where memory lives only in the coordinator's head, every departure resets the relationship.

CASE STUDY Event diplomacy: a business forum that produced something

The typical bilateral business forum follows a fixed shape: opening speeches, a plenary of general statements, a buffet, and business-to-business meetings scheduled in the last ninety minutes when everyone is tired. The measurable output afterwards is usually nil.

The variant that works inverts it. Member companies submit specific requirements in advance — products, volumes, obstacles. The counterpart organisation matches them and circulates the schedule beforehand. Plenary speeches are cut to twenty minutes total. The bulk of the day is structured meetings, and a coordinator records outcomes for each pairing at the end of the session, in the room.

The follow-up register goes out within three days, and is reviewed at ninety days. The difference in cost between the two designs is negligible; the difference in outcome is the entire justification for the institution.

4.4 Stakeholder mapping

A stakeholder map answers a specific question: **who has to be persuaded, informed or neutralised for this to happen, and who can I reach?** It is the most transferable craft in this chapter, and the one most often done badly — usually by producing a list of institutions with no assessment of influence or access.

- 6. State the objective precisely.** "Improve relations" cannot be mapped. "Secure a bilateral agreement on the recognition of conformity assessment for machinery" can.
- 7. List actors by category:** government (which ministry, which department, which official); regulators; the counterpart business organisation; sectoral associations; major firms on both sides; financial institutions; embassies and commercial counsellors; and the analytical community that shapes how the issue is framed.
- 8. Score each on two axes: influence over the outcome, and current disposition.** Four quadrants follow, and each implies a different action — cultivate, inform, monitor, or address directly.
- 9. Record the access path.** Not "the ministry" but who in your organisation, or among your members, actually knows someone there. Access you cannot name is access you do not have.
- 10. Identify the blocker.** In most stakeholder maps there is one actor whose objection is decisive. If your map does not identify one, it is probably incomplete.

WATCH OUT The map is confidential and the relationships are not yours

A stakeholder map records who knows whom, and who is well or badly disposed towards a policy. It is an internal working document, it should be handled as such, and assessments of individuals should be written in language you would be comfortable defending if the document were disclosed. This is both an ethical and a practical rule: careless characterisations of foreign officials have ended more than one institutional relationship.

4.5 How international organisations produce knowledge — and how to read it

Reports, indices and rankings are the currency of institutional argument. Used well, they give a brief authority. Used badly, they import someone else's methodology and its blind spots into your analysis without your noticing.

- **Ask what is being measured, not what is being named.** A "competitiveness" index measures a chosen basket of proxies. A change in rank may reflect a methodology revision, or another country's movement, rather than any change at home.

- **Distinguish surveillance from advocacy.** An IMF Article IV consultation is a surveillance product with an institutional obligation to be candid; a report from an interested party is an argument. Both are useful; they are not the same kind of evidence.
- **Check whether the flagship still exists.** The World Bank discontinued its Doing Business report and has developed a successor methodology; the World Economic Forum discontinued its traditional competitiveness ranking. Citing a discontinued index as current is a visible error and a common one.
- **Prefer the underlying data to the composite.** The sub-indicator relevant to your question — contract enforcement time, logistics performance, tariff dispersion — is more informative than the headline score, and far more defensible when challenged.

PRACTICAL EXERCISE Stakeholder map for a new council

Choose a frontier market where a business council does not yet exist. Produce a stakeholder map for establishing one: the counterpart organisation you would partner with and why; the ministries and regulators involved on both sides; ten Turkish companies with a plausible interest and what that interest is; the embassy and commercial counsellor; and the single biggest obstacle.

Finish with a one-paragraph recommendation on whether the council should be established at all. The willingness to recommend against is what makes the recommendation worth reading.

CHAPTER 5

Country and Regional Research Methodology

This chapter and the next are the skills core of the guide. Everything before them is the knowledge an economic diplomat needs; these two are the craft an economic diplomat is paid for.

Country research is a discipline with a method. Done well, it produces a defensible judgement in a known amount of time. Done badly, it produces a document that reads like a country's own tourism brochure with a trade table appended.

By the end of this chapter you should be able to

- Convert a vague request into a research question that can be answered in the time available.
- Navigate the source hierarchy and know which source settles which kind of question.
- Read trade data at commodity-code level and extract a commercial opportunity from it.
- Conduct an elite interview that produces information you could not have found in a database.
- Name the analytical traps you are personally most likely to fall into.

5.1 Start with the question, not the country

The commonest failure in country research is starting to read. A request arrives — "we need something on Vietnam" — and the analyst opens twelve tabs. Three days later there is a great deal of material and no answer, because there was never a question.

Distinguish two kinds of request, because they need different work and different documents.

Table 5.1 — Strategic and operational research

	Strategic	Operational
Question	Should we be in this market at all, and in what form?	How do we do this specific thing here?
Time horizon	Three to ten years	Weeks to months
Typical trigger	Portfolio review; a proposal to establish a council	A member company with a concrete problem
Evidence	Structural: demography, growth, institutions, value chains	Procedural: regulation, certification, tariffs, logistics, partners
Failure mode	A thesis with no test attached	Accurate detail that answers a question nobody asked

FIELD NOTE The scoping conversation

Before any research, five questions to whoever commissioned it. They take four minutes and save days.

- **What decision will this inform?**
- **Who will read it, and what do they already know?**
- **When do you need it, and in what form?**
- **What would make this useless?** — the most revealing of the five.
- **What do you already believe?** — so you can test it rather than accidentally confirm it.

5.2 The source hierarchy

Sources are not equal, and the skill is knowing which source settles which question. Working down this hierarchy, each level is more specific and less verifiable than the one above.

Table 5.2 — What each source layer is good for

Layer	Examples	Settles	Does not settle
Official statistics	TurkStat, national statistical offices, central banks	What was measured, on a defined basis	Anything unrecorded or informal
International databases	UN Comtrade, ITC Trade Map, UNCTADstat, IMF WEO and DOTS, World Bank data	Comparable cross-country figures; mirror statistics	Why the numbers moved
Institutional assessments	IMF Article IV, OECD Economic Surveys, World Bank diagnostics	Considered judgement on macro and structural conditions	Sector-level commercial specifics
Commercial intelligence	Subscription forecasting and country-risk services	Forecasts, sector data, standardised risk scores	Anything proprietary to your own members
Ground intelligence	Commercial counsellors,	How things actually work;	Anything requiring

Layer	Examples	Settles	Does not settle
	member companies, counterpart organisations, local chambers	who decides; what the real obstacle is	representativeness

The last layer is the one an institution like a business council can supply and a consultancy generally cannot. It is your comparative advantage; use it.

DEFINITION Mirror statistics

Country A's recorded exports to country B rarely equal country B's recorded imports from country A. Differences arise from valuation (exports recorded free on board, imports including cost, insurance and freight), timing, re-exports through third countries, and misreporting.

Comparing the two — mirror analysis — is a standard technique. A large and persistent gap is itself a finding: it may indicate transit trade through a third country, informal flows, or undervaluation at one end. Any of those is more interesting than the headline figure.

5.3 Reading trade data properly

Trade data is where an economic diplomat can most quickly produce something a member company values. The technique is not complicated; the discipline is in staying at the right level of detail.

- 11. Work at commodity-code level, not sector level.** "Machinery" is not a finding. A specific four- or six-digit heading, with volumes and suppliers, is.
- 12. Establish what the market imports and from whom.** The supplier concentration tells you whether an incumbent must be displaced or whether the market is genuinely open.
- 13. Check what Türkiye already exports to comparable markets.** A product that sells well in three similar economies and not in this one poses a specific question: is the obstacle tariff, regulatory, logistical or relational?
- 14. Look at the tariff and the non-tariff conditions together.** A zero tariff with a certification requirement your members cannot meet is a closed market.
- 15. Compare unit values.** Your export unit value against competitors' tells you which quality tier you occupy — and whether the competition you actually face is the one you assume.
- 16. Then, and only then, ask a company.** Data identifies the question; practitioners answer it. Arriving at a member with a specific observation earns a far better conversation than arriving with a blank page.

WATCH OUT What trade data cannot tell you

- **Services and digital trade are badly captured.** Large and growing flows are close to invisible in customs statistics.
- **Re-exports distort bilateral pictures.** Goods routed through a logistics hub are attributed to the hub, not the origin or the destination.
- **Recorded trade excludes informal trade,** which in some neighbouring markets is a substantial share of the real relationship.
- **Last year's data describes last year.** In fast-moving markets it can be a poor guide to current conditions, and it is always worth asking a practitioner whether the picture still holds.

5.4 Qualitative method: interviews that are worth the meeting

An elite interview — with an official, an executive, a counterpart organisation — is the only way to obtain information about how decisions are actually made. It is also the easiest research method to waste, because a badly prepared interview simply confirms what the interviewee says in public.

- **Do the desk work first.** Never spend an interview on facts available in a database; you will not be given a second meeting.
- **Ask about process and experience, not opinion.** "What happens when a foreign company applies for that licence?" produces information. "What do you think about foreign investment?" produces a position.
- **Ask for the exception.** "When does that not apply?" is the single most productive question in this kind of interview.
- **Note what they will not discuss.** The boundary of the conversation is data about the environment.
- **Establish the ground rules at the start.** Whether remarks may be attributed, and to whom the note will circulate. Where a meeting is convened under the Chatham House Rule, information may be used but neither the identity nor the affiliation of speakers may be revealed.
- **Write the note the same day.** Recall degrades faster than anyone expects, and an interview note written a week later is a summary of your impressions rather than a record.

5.5 Analytical traps

The literature on intelligence analysis is more honest about cognitive failure than most policy writing, and it is directly applicable.¹⁰ Four traps account for most avoidable errors in country work.

Table 5.3 — Four traps and their countermeasures

Trap	How it shows up in country research	Countermeasure
Mirror-imaging	Assuming a foreign government will weigh costs as a Turkish one would	Reconstruct their constraints explicitly before predicting their behaviour
Recency bias	The last event dominates the assessment; a single incident becomes a trend	Plot the series before interpreting the latest point
Source conflation	Three articles citing one original source are treated as three sources	Trace every claim to its origin; count originals, not repetitions
Over-reliance on official data	Treating published figures as reality in low-transparency environments	Triangulate with mirror statistics, satellite or logistics proxies, and practitioner accounts

*A fifth trap deserves naming: **confirmation of the commissioner's view**. If your conclusion always matches what the person who asked for the work already believed, that is a finding about your process.*

5.6 A three-day country profile

Most country work is done under time pressure. The sequence below produces a defensible four-page profile in three working days and is the single most useful routine to internalise early.

Table 5.4 — Three-day sequence

Day	Work	Output at the end of the day
Day 1	Scoping conversation; macro picture from institutional assessments; structure of the economy; political and institutional context	A one-page outline and a written statement of the question

¹⁰Richards J. Heuer Jr., *Psychology of Intelligence Analysis*, Center for the Study of Intelligence, 1999.

Day	Work	Output at the end of the day
Day 2	Trade and investment data at commodity-code level; tariff and non-tariff conditions; competitor analysis; identification of two or three candidate opportunities	Data annex and a draft of the opportunity section
Day 3	Two or three calls with practitioners to test the candidate opportunities; drafting; internal review	Four-page profile with sourced figures and a clear recommendation

If the third day has no conversation with a practitioner in it, the profile is desk research and should be labelled as such.

PRACTICAL EXERCISE Produce a four-page country economic profile

Take a priority market and produce a four-page profile using only real, cited data: macroeconomic context; trade structure with Türkiye at commodity-code level; two specific opportunities with the evidence for each; the principal risks; and a recommendation on what a business council should do next.

Constraints that make this exercise worth doing: every figure carries a source and a date; no sentence survives that would be true of any country; and the recommendation must be capable of being wrong.

CHAPTER 6

Report Writing and Institutional Communication

An analysis that is not read changes nothing, and an analysis that is read and misunderstood is worse than none. Institutional writing is therefore not a presentational skill added at the end of the work; it is part of the analysis.

This chapter covers the outputs a specialist produces, the structure that makes them usable, the language that expresses confidence honestly, and two annotated templates you can use on Monday.

By the end of this chapter you should be able to

- Write an executive summary that a decision-maker can act on without reading the body.
- Distinguish evidence from assertion in your own drafts, and fix the difference.
- Express uncertainty in calibrated language that means the same thing to every reader.
- Build a country trade opportunity report and a business council activity brief from a template.

6.1 The outputs, and what each is for

Institutional writing fails most often because the author chose the wrong document. A twelve-page analysis where a one-page brief was needed is not thorough; it is a failure to identify the reader's decision.

Table 6.1 — Output types

Output	Length	Reader and decision	The thing it must contain
Country economic profile	3–6 pages	Members and executives assessing a market	A clear verdict on whether and how to engage
Bilateral trade opportunity report	6–12 pages	Companies deciding where to allocate effort	Specific opportunities at product level, with the obstacle named
Business council meeting brief	1–2 pages	The chair and delegation, an hour before the meeting	Who is in the room, what they want, what we are asking for
Post-visit / mission report	2–4 pages	Institution and participants, after the event	Commitments made, by whom, with dates
Policy position paper	4–10 pages	Government interlocutors	A defensible ask supported by member evidence
Event concept note	1–2 pages	Internal approval and partners	Objective, audience, format, and how success is measured

6.2 The executive summary

An executive summary is not a summary. A summary describes the document; an executive summary delivers the conclusion and the reasoning in the order a decision-maker needs them. The test is simple: **the reader stops after the first page, do they know what to do and why?**

17. The judgement, in one sentence. Not the topic — the finding. "The Vietnamese market is open to Turkish machinery exports but access depends on local certification that most members cannot currently meet."

18. The three reasons. The load-bearing evidence, briefly, with sources.

19. What follows from it. The recommendation, with the option not taken and why.

20. The main uncertainty. What would change the judgement, and what you would need to resolve it.

WATCH OUT The four openings that waste the first paragraph

- "This report examines..." — the title already said that.
- "In today's rapidly changing global environment..." — true of every year since 1914.
- **A history lesson.** Background belongs in the body if it belongs anywhere.
- **A methodology paragraph.** Method matters, and it matters in an annex.

The first sentence of any institutional document should be the thing you would say if you had the reader's attention for ten seconds in a corridor.

6.3 Evidence and assertion

Every claim in an institutional document falls into one of four categories, and the reader is entitled to know which. Confusing them is the most common way credible analysts lose credibility.

Table 6.2 — Four kinds of claim

Type	Example	What it requires
Fact	Exports in this heading were X in 2025	A source and a date
Inference	The decline reflects the certification requirement introduced in 2024	The reasoning stated, and the alternative explanation addressed
Judgement	The requirement is unlikely to be relaxed within two years	Calibrated language and a basis
Recommendation	The council should prioritise conformity assessment recognition	An explicit link to the objective, and the cost of the alternative

A useful self-check: highlight every sentence that is an inference or a judgement. If any lacks a stated basis, it is currently an assertion.

6.4 Calibrated language

Words expressing probability are read differently by different people, and the resulting ambiguity has real consequences. The intelligence community addressed this decades ago by fixing a vocabulary and publishing it, an approach worth borrowing.¹¹

Table 6.3 — A house scale worth adopting

Expression	Approximate probability	Use when
Almost certainly	above 90 per cent	Multiple independent indicators point the same way
Likely / probably	60–90 per cent	The balance of evidence is clear but not conclusive
Roughly even chance	40–60 per cent	Say this rather than hedging; it is a finding
Unlikely	10–40 per cent	Possible, and not the way to plan
Remote	below 10 per cent	Worth naming only if the impact is severe

Publish the scale in an annex the first time you use it. A reader who knows your scale can act on your judgement; one who does not is guessing.

FIELD NOTE Three habits that make judgement credible

- **Separate confidence from probability.** "Unlikely, but we assess this with low confidence because the data is thin" is more useful — and more honest — than either half alone.
- **State the falsifier.** "We would revise this if the tariff schedule published in the second quarter retains the current headings."
- **Record the judgement with a date.** A file of dated judgements is how an analyst learns whether their calibration is any good. Almost nobody does this, and it is the fastest route to genuine expertise.

6.5 Tables, charts, and the option of neither

- **Use a table** when the reader needs to look up a specific value, or when categories are compared on several dimensions at once.
- **Use a chart** when the point is a shape — a trend, a distribution, a relationship — and the individual values do not matter.
- **Use neither** when the finding is one number. "Exports doubled between 2019 and 2024" needs no chart, and a chart of two data points suggests the author had nothing else.

¹¹On the problem of estimative language see Sherman Kent's classic treatment of "words of estimative probability"; on calibration and forecasting practice, Philip E. Tetlock and Dan Gardner, *Superforecasting*, Crown, 2015.

- **Never use a chart to decorate.** A visual that does not carry an argument costs the reader attention and gives nothing back.
- **Label the finding, not the data.** A chart titled "Exports by year" wastes its most-read line. "Export growth has stalled since 2023" uses it.

6.6 Citation in policy documents

Policy writing is not academic writing, and importing a full academic apparatus makes a brief harder to use. But a document with no sources cannot be checked, and in an institution whose asset is credibility that is a serious defect. The workable middle is a light in-text attribution with footnotes for anything that could be challenged, and a short source list at the end.

- Cite the **issuing body, the publication and the date** for institutional sources: *IMF, Article IV consultation with [country], [year]*.
- Cite **database, indicator and extraction date** for data: a figure without an extraction date cannot be reproduced, because databases are revised.
- Cite **author, title, publisher and year** for books and articles, in a consistent style. Which style matters far less than consistency.
- Attribute **interviews and meetings** by role and date, not by name, unless you have explicit permission: *interview, senior official, ministry of trade, March 2026*.
- Never cite a source you have not opened. Second-hand citation is how errors propagate through an institution, and it is discovered at the worst possible moment.

6.7 Writing for four different readers

Table 6.4 — The same finding, four ways

Reader	What they need	What to cut	Tone
Minister or senior official	The judgement, the ask, the political cost	Method, sector detail, caveats beyond the main one	Brief, decisive, no jargon
Chief executive of a member company	The commercial consequence and the required action	Policy architecture, institutional process	Concrete, quantified
Foreign counterpart organisation	A shared framing and a workable proposal	Anything that reads as a demand or a criticism	Measured, reciprocal
Press	A clear, quotable, defensible statement	Everything speculative or attributable to a third party	Plain, cautious, on-the-record

The discipline is not writing four documents. It is writing one analysis and four openings.

6.8 Annotated template: Country Trade Opportunity Report

The template below is annotated: the left column is the section, the right column is what an experienced author is doing in it. Sections that cannot be filled with something specific should be removed rather than padded.

Table 6.5 — Country Trade Opportunity Report, section by section

Section	What goes in it, and why
1. Executive summary (½ page)	The verdict, three reasons, the recommendation, the main uncertainty. Written last, read first, and often the only part read at all.
2. Purpose and scope (3 lines)	The decision this informs and what is deliberately excluded. This paragraph

Section	What goes in it, and why
	prevents the most common complaint about analytical work — that it answered a different question.
3. Market context (½–1 page)	Macro picture at the level needed to judge the opportunity: size, growth, external position, currency, and the two structural facts that explain the rest. Sourced and dated.
4. The bilateral relationship today (1 page)	Trade at commodity-code level in both directions; investment; the institutional framework — agreement, council, government mechanism. Include the mirror-statistics gap if there is one.
5. Opportunities (2–3 pages)	The core. Two or three, at product level, each with: the demand evidence, current suppliers, why Türkiye can compete, the obstacle, and what would have to be true.
6. Barriers and risks (1 page)	Tariff and non-tariff conditions; certification; payment and currency; political and security risk. Likelihood and impact separately, with an indicator for each.
7. Recommendation (½ page)	What the institution should do, in what order, with the resource implication. Include the option rejected and why — this is what makes a recommendation credible.
8. Sources and method (annex)	Databases with extraction dates; interviews by role and date; the confidence scale used. Short, and never in the body.

6.9 Annotated template: Bilateral Business Council Activity Brief

Table 6.6 — Meeting brief, one to two pages maximum

Section	What goes in it, and why
Meeting and objective (2 lines)	What is happening, and the single outcome we want. If the objective cannot be stated in one sentence, the meeting is not ready.
Who is in the room	Names, positions, and one line on each: their interest, their constraint, and any relevant history with our side. This is the section chairs actually read.
State of the relationship (short paragraph)	Trade direction, the last significant development, and the current temperature. No history lesson.
Our asks	At most three, ranked, each phrased as something the counterpart can actually deliver. An ask directed at the wrong institution wastes the meeting.
Their likely asks	What they will raise, and our line on each — including what we cannot offer and how to say so without closing the subject.
Sensitivities	What not to raise, and why. Brief, factual, and written so that disclosure would not embarrass anyone.
Follow-up	Who records outcomes, when the note circulates, and the review date. Agreed before the meeting, not after.

A brief longer than two pages will not be read in the car. That is not a reason to write a longer brief; it is a reason to write a better one.

PRACTICAL EXERCISE Rewrite one page

Take a report your organisation produced in the last year. Rewrite only its first page against §6.2: judgement, three reasons, recommendation, main uncertainty. Keep it to one page.

Then compare the two openings and ask which one you would act on. This single exercise, repeated a

few times, improves institutional writing more than any amount of reading about it.

CHAPTER 7

DEiK in Practice: Cases in Bilateral Economic Diplomacy

The preceding chapters separate economics, trade rules, politics, institutions and craft because that is how they are learned. They arrive together, because that is how the work happens.

Each case below is presented as an analytical problem rather than a narrative: the situation, what a specialist must establish, what the institution can actually do, and the indicators that would tell you the assessment is changing. Figures are deliberately absent — the cases are structures for thinking, and the current numbers must come from the sources in Appendix A.

By the end of this chapter you should be able to

- Apply the analytical lenses from Chapters 1–4 to a live bilateral relationship.
- Identify what a private-sector body can and cannot change in a given situation.
- Convert a complex bilateral situation into a brief with a defensible recommendation.

7.1 Case 1 — Trade with Russia under sanctions pressure

The problem: a substantial and long-standing commercial relationship operating in an environment where the binding constraints are set by third parties whose measures Türkiye has not adopted.

The situation. Türkiye and Russia trade heavily in energy, agriculture, tourism services and consumer and industrial goods. Since 2022 the relationship has continued while the surrounding compliance environment has tightened sharply: EU, US and UK restrictions on specific goods and entities; anti-circumvention measures aimed at third-country intermediaries; and — the constraint members feel most — the withdrawal of banking, insurance and logistics services by institutions protecting their own international exposure.

What a specialist must establish before advising anyone. Which measures actually bind a Turkish company (as distinct from those that bind its counterparties or its banks); whether the specific goods appear on any control or high-priority watch list; whether the counterparty, its ownership and its banks are designated; and, decisively, whether a settlement route exists at all.

Table 7.1 — Separating the constraints

Constraint	Binds whom	Practical effect on a member company
UN measures	All states, including Türkiye	Legally binding in Turkish law
EU / US / UK autonomous measures	Their own persons and conduct within their jurisdiction	Not directly binding on a Turkish company, but reach it through banks, insurers, suppliers and contracts
Secondary designation risk	Any entity, anywhere, that a designating authority lists	Loss of correspondent banking, insurance and forwarding — commercially terminal
Supplier contract clauses	The Turkish buyer of EU-origin goods	Contractual prohibition on onward supply, with audit and termination rights
Bank risk appetite	The company, through its bank	The most frequent practical blocker, and the least visible in any legal analysis

FIELD NOTE What an institution can and cannot do here

Can: explain the regimes accurately; convene briefings with specialist counsel; help members understand why their bank behaves as it does; feed member experience into policy discussion; and be clear about where the line is.

Cannot: advise on individual transactions, verify a counterparty's ownership on a member's behalf, or lend institutional cover to a structure designed to obscure a restricted flow. The second and third are not caution — they are the conditions on which the institution keeps the standing that makes the first useful.

Indicators to monitor: new designations touching sectors where members are active; changes in correspondent banking availability; anti-circumvention listings of third-country entities; and shifts in the composition rather than the volume of recorded trade, which usually move first.

7.2 Case 2 — Building the Africa relationship

The problem: a policy-led expansion across a continent of very different markets, where the institutional vehicle — the business council — must be built before the commercial case is fully proven.

The situation. Türkiye's engagement with African states has expanded substantially over two decades through diplomatic representation, aviation connectivity, contracting, development cooperation and a growing set of bilateral business councils. The commercial pattern is characteristic: strong in construction and contracting, consumer goods, defence and aviation services; thinner in the intermediate manufacturing where Türkiye is otherwise competitive.

The analytical problem is sequencing. A business council established before there is member demand becomes a letterhead; established after the relationship matures, it adds little. Judging the moment is a genuine skill, and the evidence for it is specific.

- 21. Is there a counterpart worth partnering with?** An organisation that actually convenes business in that market, not merely one willing to sign.
- 22. Is there a member base?** Ten companies with a current interest beat a hundred with a general one. Name them.
- 23. Is there a connectivity foundation?** Direct flights, banking correspondents and a functioning logistics route determine whether commercial interest can be acted on.
- 24. Is there an obstacle a council can actually move?** Visa procedures, certification recognition, double taxation, a payments problem. If the obstacle is the security situation, a council will not fix it.
- 25. Is there continental context?** The African Continental Free Trade Area changes the calculus over time, since a market may be worth entering as a platform rather than only for itself.

CASE STUDY The failure mode to avoid

The recognisable failure is a well-attended launch event, a signed cooperation agreement, a photograph, and then eighteen months of nothing — because no member had a live requirement, no obstacle had been identified, and the counterpart organisation had no operating budget.

The countermeasure is unglamorous and reliable: before establishing a council, produce the stakeholder map from §4.5 and require that it name ten interested companies, one specific obstacle, and one counterpart with staff. If those three cannot be produced, the market is a candidate for a delegation visit, not a council.

7.3 Case 3 — Gulf investment flows

The problem: a relationship where the dominant flow is capital rather than goods, which changes what the institution is for.

The situation. Following a period of political estrangement, relations between Türkiye and several Gulf states normalised from 2021–22, and the commercial relationship has been characterised less by conventional trade than by investment: sovereign and quasi-sovereign capital, real estate, financial and infrastructure investment, and defence and technology partnerships.

Why this changes the institutional task. A trade relationship is served by matchmaking, market information and obstacle removal. An investment relationship is served by something different: credible pipelines, regulatory predictability, dispute-resolution comfort and relationships at principal level. The unit of work is the transaction, not the delegation.

Table 7.2 — What an investment-led relationship requires

Need	Why it binds	Institutional contribution
Pipeline visibility	Capital needs a queue of investable projects, not an invitation	Curating and validating opportunities with member companies
Regulatory predictability	Investment horizons are long; policy	Feeding investor concerns into policy

Need	Why it binds	Institutional contribution
	volatility is priced	dialogue with evidence
Treaty protection	Investment treaties and dispute mechanisms shape perceived risk	Explaining the framework accurately; identifying gaps
Principal-level access	Decisions are taken by a small number of people	Convening at chair and executive level rather than working level
Follow-through	Announcements exceed completions in every market	Tracking announced against realised, honestly, including in internal reporting

The last row is the discipline that keeps an institution credible. Announced investment is a press figure; realised investment is an economic one, and a specialist should never present the first as if it were the second.

7.4 Case 4 — Trade continuity with the United Kingdom

The problem: preserving a substantial trade relationship through a change in the legal basis on which it rested — the cleanest available example of institutional preparation paying off.

The situation. Türkiye's trade with the United Kingdom operated for decades through the EU–Türkiye Customs Union. When the UK left the EU customs territory, that basis ceased to apply, and continuity required a bilateral free trade agreement, which entered into force at the beginning of 2021. The practical change for exporters was substantial even though the headline — duty-free access for most industrial goods — was preserved.

- **From free circulation to origin.** Under the Customs Union, the A.TR certificate evidenced free circulation. Under the FTA, preference depends on **origin**, and origin must be earned under the agreement's rules and evidenced with a EUR.1 or an origin declaration.
- **A customs border where there was none.** Declarations, formalities and the associated cost and time, for the first time in a generation of trading practice.
- **Divergence risk over time.** Product regulation and conformity assessment in the UK may drift from EU requirements, which for Turkish exporters aligned to EU standards is a live and continuing question.

FIELD NOTE The transferable lesson

This case is the strongest available argument for what a private-sector body does between crises. The exporters who suffered least were those who understood, before the change, that **their paperwork was about to test something different about their goods**. That understanding came from briefings, sectoral guidance and counterpart contact — the ordinary work of a business council, done a year early.

When a legal basis for trade is scheduled to change, the institutional task is not to lobby about the outcome. It is to establish, sector by sector, what the change asks of a member firm that the previous regime did not, and to say so in time to be useful.

7.5 What the four cases have in common

Read together, the cases point to the same set of professional habits, and it is worth stating them explicitly because they are what this guide has been building towards.

- **Separate what binds from what merely applies.** In every case, the operative constraint was narrower and more specific than the public discussion suggested.
- **Identify the obstacle the institution can actually move.** Institutional effort spent on constraints outside your reach is the main source of wasted programme budget.
- **Prefer the specific to the general.** Ten named companies, one named obstacle, one named counterpart. Every case above turns on specifics of that kind.

- **Report realised outcomes, not announced ones.** This is the discipline that determines whether government and members treat your analysis as reliable.
- **Do the preparatory work before it is urgent.** In three of the four cases the decisive advantage went to those who had understood the change a year in advance.

PRACTICAL EXERCISE Write the fifth case

Take a bilateral relationship in your own portfolio and write it up in the structure used above: the situation; what a specialist must establish; what the institution can and cannot do; the indicators to monitor. Two pages.

Then give it to a colleague who does not know the market and ask them one question: *what would you do on Monday?* If they cannot answer, the case is a description rather than an analysis.

Appendix A — Key Data Sources and Databases

This appendix is the single most practically useful page in the guide. Every figure you publish should come from one of these, with an extraction date recorded.

Table A.1 — Sources by question

Question	Source	Note
Turkish macro and trade statistics	Turkish Statistical Institute (TurkStat / TÜİK)	The primary source for Turkish national accounts, trade and prices
Turkish monetary, balance of payments, FDI	Central Bank of the Republic of Türkiye (TCMB)	Balance of payments and investment position statistics
Turkish trade policy, agreements, procedures	Ministry of Trade (Ticaret Bakanlığı)	Authoritative on agreements, regimes and export procedure
Turkish sector export performance	Turkish Exporters Assembly (TİM) and sectoral associations	Monthly export figures by sector, ahead of official statistics
Bilateral trade at commodity-code level	UN Comtrade	The reference database for detailed bilateral flows
Market analysis and tariffs for exporters	ITC Trade Map and Market Access Map	The most usable tools for identifying opportunity at product level
Investment flows and policy	UNCTAD, World Investment Report and UNCTADstat	The standard reference for FDI
Macro forecasts and country assessment	IMF World Economic Outlook; Article IV consultations	Article IV reports are the most rigorous public assessment of most economies
Direction of trade	IMF Direction of Trade Statistics	Useful for mirror analysis
Structural and policy analysis	OECD Economic Surveys; World Bank country diagnostics	Slower cadence, deeper analysis
Trade measures, disputes, notifications	WTO	Dispute records, notifications, tariff profiles
Value-added trade	OECD–WTO trade in value added statistics	For value-chain position rather than gross flows
Governance and fragility	Fund for Peace Fragile States Index; Bertelsmann Transformation Index	Use sub-indicators, not composite ranks
Turkish policy research	TEPAV, SETA and Turkish university research centres	Useful framing of domestic policy debates
International affairs analysis	Chatham House, Bruegel, Wilson Center and comparable institutes	Argument, not surveillance — read as such

Two cautions. First, several once-standard rankings have been discontinued or replaced; check that a flagship still exists before citing it. Second, databases are revised: always record the extraction date.

Appendix B — Recommended Reading

B.1 If you read only five things

- Krugman, Obstfeld and Melitz, *International Economics: Theory and Policy* — the trade chapters, for the models you will use for the rest of your career.
- Rodrik, *The Globalization Paradox* — for the political limits of economic integration, which is the subject of most current trade politics.
- Putnam, "Diplomacy and Domestic Politics: The Logic of Two-Level Games" — twenty pages that explain most negotiations you will observe.
- Heuer, *Psychology of Intelligence Analysis* — for the cognitive traps in Chapter 5, written more honestly than any policy text.
- The most recent IMF Article IV consultation for a country in your portfolio — read as a model of calibrated institutional writing, not only for its content.

B.2 Then, by theme

- **Trade and value chains:** Baldwin, *The Great Convergence*; Gereffi, Humphrey and Sturgeon on value-chain governance.
- **Economic statecraft:** Hirschman, *National Power and the Structure of Foreign Trade*; Farrell and Newman on weaponized interdependence; Drezner, *The Sanctions Paradox*.
- **International relations theory:** Waltz, *Theory of International Politics*; Keohane and Nye, *Power and Interdependence*; Wendt, *Social Theory of International Politics*.
- **International organisations:** Barnett and Finnemore, *Rules for the World*.
- **Economic diplomacy as a practice:** Bayne and Woolcock, *The New Economic Diplomacy*.
- **Competitiveness:** Porter, *The Competitive Advantage of Nations* — for the diamond framework and its proper scope.
- **Judgement and forecasting:** Tetlock and Gardner, *Superforecasting*.

Appendix C — Glossary

Table C.1 — Trade and diplomatic terms used in this guide

Term	Meaning
A.TR	Certificate evidencing free circulation status in the EU–Türkiye Customs Union. Not a proof of origin.
Anti-dumping duty	A duty imposed where imported goods are sold below normal value and cause injury to a domestic industry.
Article IV consultation	The IMF's periodic assessment of a member economy; a benchmark of calibrated institutional analysis.
Business council	A bilateral body organising private-sector relations between two economies, usually constituted with a counterpart organisation.
Chatham House Rule	A convention permitting use of information from a meeting without attributing it to any speaker or their affiliation.
Comparative advantage	The principle that gains from trade arise from differences in opportunity cost, not absolute productivity.
Customs union	An arrangement removing internal duties and applying a common external tariff.
Economic statecraft	The use of economic instruments — trade, finance, investment, controls — for political ends.
EUR.1	Movement certificate evidencing preferential origin under a free trade agreement.
Global value chain	The sequence of production stages for a good, distributed across countries.
Gravity model	The empirical regularity that bilateral trade rises with economic size and falls with distance.
Intra-industry trade	Two-way trade in similar products between similar economies.
Mirror statistics	Comparison of one country's recorded exports with the partner's recorded imports.
Most-favoured-nation (MFN)	The obligation to extend to all WTO members any advantage granted to one.
National treatment	The obligation to treat imported goods no less favourably than domestic goods once inside the market.
Political economy analysis	Analysis of who holds power, how they benefit, and what would make reform in their interest.
Safeguard measure	A temporary restriction in response to a surge in imports causing serious injury.
Stakeholder map	A structured assessment of who influences an outcome, their disposition, and the route to reach them.
Trade in value added	Statistics attributing trade to where value was created rather than where goods crossed borders.
Two-level game	Negotiation understood as simultaneous bargaining at international and domestic levels.

Appendix D — The Business Council Map: How to Read It

A current, authoritative list of business councils, their chairs and their counterpart organisations is published by the institution itself and changes as agreements are concluded. This appendix therefore does not reproduce a list that would be wrong within months. It gives you something more durable: how to read the map, and what to ask of it.

D.1 The structure

- **Country councils** are the main unit: one per partner country, constituted with a counterpart organisation, chaired by a business figure and supported by a coordinator.
- **Special purpose and sectoral councils** cut across geography — addressing a function or an industry rather than a country.
- **Regional groupings** organise country councils for coordination; they are administrative rather than constitutional, and they change.

D.2 Questions to ask of any council before working with it

- ☐ Who is the counterpart organisation, and does it actually convene business in that market?
- ☐ When was the cooperation agreement signed, and when did the two sides last meet formally?
- ☐ How many member companies are active — trading now, not registered?
- ☐ Which sectors dominate the membership, and does that match where the trade opportunity is?
- ☐ What obstacles has the council raised with government in the last two years, and what happened?
- ☐ Is there a follow-up register from the last joint meeting, and was it reviewed?

FIELD NOTE The most useful thing you can build in your first month

For your own portfolio, build a one-page card per council: counterpart organisation and its contact; chair; date of last joint meeting; ten most active member companies and what they trade; the two obstacles currently on the table; and the next scheduled engagement.

This is the artefact that turns a new specialist into a useful one. It takes a week to build, it answers most incoming questions immediately, and it is the institutional memory that §4.4 identified as the difference between an effective council and a busy one.

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References are to numbered sections (§), not pages, so they remain valid if the booklet is reformatted or reprinted.

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